# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# SIERRA LEONE

Africa

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Freetown | Capital and commercial centre, built around one of West Africa's largest natural harbours, with privatised seaport operations | Port logistics, financial services, trade, construction |
| Lungi | Site of the international airport, operated under a build-operate-transfer agreement, across the estuary from Freetown | Aviation services, logistics, hospitality |
| Tonkolili (Northern Province) | Iron ore heartland; capacity expansion and a magnetite processing plant are set to raise export value | Iron ore mining, processing, rail and mining services |
| Marampa (Port Loko District) | Second major iron ore operation, with capacity expansion supporting rising exports | Iron ore, haulage, mining services |
| Koya Industrial Zone (Western Area) | Industrial zone ratified by Parliament in April 2023 as a public-private partnership with Arise IIP | Light manufacturing, agro-processing, logistics |
| Kono and Kenema (Eastern Province) | Historic diamond districts; rising output at the Tongo mine is offsetting the 2025 shutdown at Koidu | Diamonds, gold, agriculture |
| Baomahun gold project | Gold development financed by Afreximbank and the Africa Finance Corporation, adding a new export stream | Gold mining, engineering, power supply |

### INVESTOR ENTRY ROUTES

- National Investment Board (NIB), established under the National Investment Board Act 2022, acting as a one-stop shop for registration, permits, aftercare and incentives, and implementing a National Investment Strategy 2025–2030
- Finance Act 2025 incentives for companies with at least 20% local ownership: 5- or 10-year tax exemptions for qualifying investments of $5 million or $7.5 million, duty-free plant and machinery, and agribusiness and renewable-energy reliefs
- Free Trade Zones and Special Economic Zones with customs duty and GST exemptions under the Customs Act 2011, including the Koya Industrial Zone developed with Arise IIP
- NIB Act guarantee of the right to repatriate earnings and sale proceeds through official channels, with conversion at market rates subject to Bank of Sierra Leone approval; the 2019 leone-only contract rule was eased in 2023

- Investor protection through ICSID membership, accession to the New York Convention (2020), the Arbitration Act 2022 and the Sierra Leone International Arbitration Centre, plus MIGA cover
- Mining entry under the Mines and Minerals Development Act 2022 and the Extractive Industry Revenue Act, with local-content requirements under the Local Content Agency Act 2016
- Land access through leases of up to 50 years (up to 15,000 hectares for agriculture and 10,000 hectares for mining), with community consent under the Customary Land Rights Act 2022

### MARKET-ENTRY OBSERVATION

Sierra Leone in October 2026 is a mineral-led economy with a reform programme anchored by the IMF and a growing pipeline of resource, energy and infrastructure projects. Real GDP grew 5.0% in 2025 and the IMF projects 4.0% growth in 2026. Mineral exports rose 16% to about $1.3 billion in 2025, with iron ore accounting for around 69%, and expansions at Tonkolili and Marampa, a new magnetite processing plant and the Baomahun gold project point to further export growth. The IMF completed the third review of Sierra Leone's Extended Credit Facility in June 2026, bringing disbursements to about $158.6 million, and approved a new Resilience and Sustainability Facility of about $211.5 million. A $480 million Millennium Challenge Corporation energy compact is moving towards implementation, and the NIB Act 2022 and Finance Act 2025 have strengthened investor guarantees and incentives.

The country's main near-term challenge is price stability following the 2026 energy shock. Headline inflation, which stood at 4.3% at end-2025, rose to 15.66% in August 2026, driven mainly by fuel, housing and utility costs, while food inflation remained moderate at 5.82%. The Bank of Sierra Leone has responded with measured tightening, raising the policy rate to 17% in June and 17.25% at its September meeting, and the leone has stayed broadly stable, weakening only about 3.7% against the dollar over twelve months. Reserve cover is modest at 2.0 months of imports in 2025, but the IMF projects it rising to 2.7 months in 2026, and the government has capped the cost of temporary fuel subsidies. For investors, the energy shock underlines the opportunity in domestic power: the MCC compact, a planned private concession for electricity distribution and new solar capacity near Freetown are opening the sector to private capital.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Inflation and energy-price pass-through | Inflation rose to 15.66% in August 2026, led by fuel, housing and utility costs, raising operating costs and local borrowing rates | Price local-currency contracts with indexation; the central bank's tightening and IMF programme anchor disinflation, while the shock strengthens the case for local power investment |
| Public debt and modest reserves | Debt is assessed as sustainable but at high risk of distress, and reserve cover was 2.0 months of imports in 2025 | IMF ECF and RSF support, fiscal consolidation and stronger mining revenue collection underpin a projected rise in reserve cover; use DFI co-financing and MIGA cover |
| Power supply and utility arrears | Electricity supply is uneven outside main centres, and the state distributor owed independent power producers about $113 million in early 2026 | The MCC compact and a planned private distribution concession offer entry points; structure power projects with DFI guarantees and secure payment mechanisms |
| Governance and donor relations | Sierra Leone ranked 114th of 180 on the 2024 Corruption Perceptions Index, and the EU suspended €18 million of 2026 budget support in October 2026 | Conduct enhanced due diligence and use the Arbitration Act 2022 and ICSID protections; the government states the EU payments are now proposed for 2027 and 2028 |
| Mining fiscal regime changes | Concession renegotiations, an iron ore pricing safe harbour and a new state Exploration and Mining Company are reshaping mining terms | Engage early with the Ministry of Mines and secure ratified agreements compliant with the Extractive Industry Revenue Act for long-term certainty |
| Land access and local content | Foreigners cannot own land and must lease it with community consent, and local-content rules set Sierra Leonean | Use long-term leases of up to 50 years and build local partnerships and training into project plans from the outset |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | employment quotas | |
| 2028 election cycle | The IMF notes rising political tensions ahead of the 2028 elections and a risk of reform fatigue | Sierra Leone has been relatively stable since the end of its civil war in 2002; phase key approvals and contract ratification well ahead of the election period |

### INVESTOR RISK NOTE

Sierra Leone offers investors a resource-rich, outward-facing economy with a credible reform anchor in its IMF programme and strong support from multilateral partners. Mineral exports are growing, new iron ore, gold and power projects are advancing, and the NIB Act 2022 guarantees profit repatriation alongside access to ICSID and international arbitration. The 2026 rise in inflation reflects an imported energy shock rather than food prices, which have stayed moderate, and the central bank has tightened policy while keeping the leone broadly stable. Debt is sustainable but at high risk of distress and reserve cover is modest, so investors should plan for local-currency and payment risk, using DFI co-financing, MIGA cover and hard-currency revenue structures where possible. Governance and donor-relations developments, including the EU's October 2026 suspension of budget support, warrant enhanced due diligence, and investors should phase key approvals ahead of the 2028 elections. Those that do so can access attractive opportunities in mining, power and agribusiness at an early stage of the country's development.

### MARKET ACCESS

Sierra Leone is a member of the Economic Community of West African States (ECOWAS), giving duty-free access for qualifying goods across the regional market, and of the Mano River Union with Liberia, Guinea and Côte d'Ivoire. It participates in the African Continental Free Trade Area (AfCFTA), is a WTO member, and benefits from the EU's Everything but Arms scheme and eligibility under the US African Growth and Opportunity Act. China is the dominant export market, taking around 53% of exports, followed by Europe at around 20% and South Korea at 5%, with iron ore accounting for roughly 70% of export earnings. Freetown's deep natural harbour is the main trade gateway, and President Bio's chairmanship of ECOWAS from June 2025 to July 2026 has raised the country's regional profile.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the President (Julius Maada Bio) | Sets national economic strategy, including the Medium-Term National Development Plan 2024–2030 and the Big Five Game Changers | Primary reference point for strategic direction and large-scale project approvals |
| National Investment Board (NIB) | Statutory one-stop shop for investment promotion, registration, incentives and aftercare, led by Executive Director Dr Edward Hinga Sandy | Standard first point of contact for market entry and incentive guidance |
| Bank of Sierra Leone | Monetary authority; sets the policy rate (17.25%), manages the leone and reserves, and approves foreign-exchange conversions | Relevant for currency, repatriation and banking-sector matters |
| Ministry of Finance | Leads fiscal policy, the IMF programme, debt management and tax incentives under the Finance Act | Key counterpart for fiscal incentives, PPPs and sovereign-linked projects |
| Ministry of Mines and Mineral Resources | Oversees mining licensing, concession agreements and the new state Exploration and Mining Company | Essential partner for any mining or minerals-processing investment |
| Millennium Challenge Account Sierra Leone | Implements the $480 million MCC energy compact to modernise the grid and | Gateway to procurement and partnership opportunities in power |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| | strengthen sector governance | |
| Sierra Leone International Arbitration Centre | Established under the Arbitration Act 2022 to provide a domestic forum for commercial dispute resolution | Relevant for contract structuring and dispute-resolution planning |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The National Investment Board is the main entry channel and is building investor-engagement and aftercare services under its National Investment Strategy 2025–2030. Government-led investment events, such as President Bio's US business roundtable in Washington in September 2025 and diaspora investment conferences in London, provide direct access to senior decision-makers. The World Bank, the African Development Bank, Afreximbank, the Africa Finance Corporation and the IMF are all active, and the US Millennium Challenge Corporation and Development Finance Corporation, together with European partners financing solar power, offer co-financing and risk-mitigation routes. Mining companies operating at Tonkolili, Marampa and Tongo are a practical source of intelligence on logistics, land and community relations.

## INVESTOR PROFILE BEST SUITED

Sierra Leone best suits investors with experience of frontier markets and a long-term horizon: mining and minerals-processing companies drawn by iron ore, rutile, gold, bauxite and diamonds; power developers and utility operators positioned for the MCC compact, solar projects and the planned distribution concession; agribusiness and agro-processing investors benefiting from Finance Act 2025 tax exemptions; and logistics and port-services operators building on Freetown's natural harbour. DFI-backed investors and those with hard-currency revenues are best placed to manage currency and payment risk.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the National Investment Board and confirm incentive eligibility
Open dialogue with the NIB on registration, the Finance Act 2025 incentive thresholds and the local-ownership conditions that apply to each sector.

STEP 2: Structure for currency and payment risk
Secure repatriation rights under the NIB Act, agree Bank of Sierra Leone conversion procedures, and use DFI co-financing or MIGA cover for larger projects.

STEP 3: Secure land and community agreements early
Negotiate long-term leases with free, prior and informed consent under the Customary Land Rights Act 2022, and build local-content plans into project design.

STEP 4: Position for power-sector opportunities
Track MCC compact procurement, the planned private distribution concession and solar tenders, which are opening the electricity sector to private investors.

STEP 5: Time approvals around the policy and election calendar
Follow IMF programme reviews and mining fiscal reforms, and aim to complete ratification of major agreements well ahead of the 2028 elections.